

Rare Beauty

AN ANALYTICAL REPORT

BY

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Introduction

This project has been undertaken as part of the CBSE Class 11 Entrepreneurship curriculum to understand how a single exceptional product can become the foundation for building a successful business. In today's world, the global beauty industry is a dynamic and growing sector valued at hundreds of billions of dollars. Consumers are increasingly looking for products that feel authentic and offer both strong performance and emotional satisfaction. Premium beauty brands are expanding rapidly as buyers move away from ordinary mass-market options toward products that match their personal values and lifestyles. Social media platforms have revolutionised the cosmetics industry by enabling quick virality, direct customer feedback, and low-cost brand building.

For this project, I have chosen to study the Soft Pinch Liquid Blush by Rare Beauty as the central case. This case study analyses how one flagship product helped build a globally successful beauty brand. The main entrepreneurial question this project tries to answer is: How did Rare Beauty create one exceptional product — the Soft Pinch Liquid Blush — and use effective branding, innovation, consumer psychology, and digital marketing to turn it into a major business success?

THROUGHOUT THIS PROJECT, I WILL EXAMINE IMPORTANT ASPECTS SUCH AS:

1. What market gap did the blush solve?
2. Why did consumers prefer it over competitors?
3. How did marketing convert its popularity into actual revenue and business growth?
4. What entrepreneurial lessons can new startups learn from this success story?

This topic is worth studying from an entrepreneurial perspective because it clearly shows how a single, well-designed flagship product — when supported by smart branding, innovation, and digital strategies — can strengthen brand identity, build strong customer loyalty, and drive significant business expansion even in a highly competitive industry. Through this project, I aim to develop a deeper understanding of real-world product strategy and business growth.



About the Company

COMPANY OVERVIEW

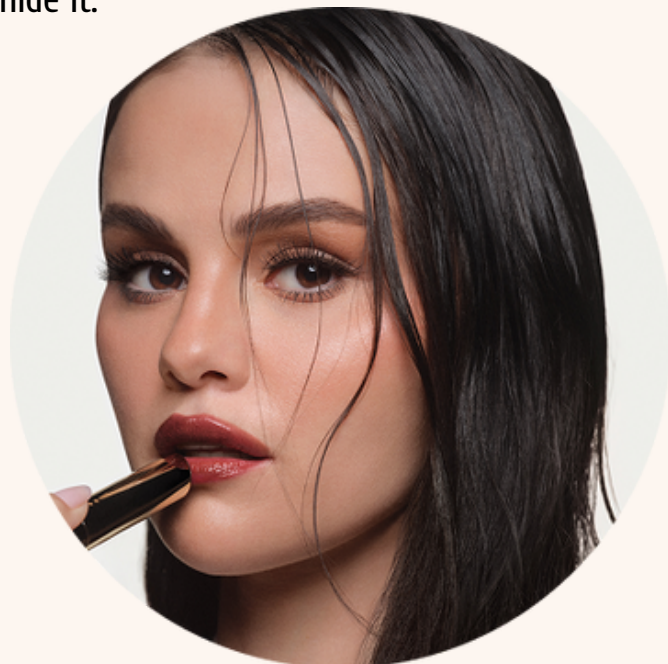
Rare Beauty officially launched in September 2020 during the COVID-19 pandemic, exactly when TikTok and Instagram beauty content was exploding among people staying at home. This perfect timing allowed the brand to gain visibility at relatively low marketing cost, especially for products like the Soft Pinch Liquid Blush. Initial challenges included building consumer trust as a new celebrity brand in a market full of competition and scepticism.

The business model smartly combined direct online sales with a key partnership with Sephora, which provided instant credibility and wide reach. Growth remained steady and focused, with a clear product strategy that avoided spreading resources too thin. The Soft Pinch Liquid Blush became the flagship product because it perfectly matched the brand's values of inclusivity, solved real consumer problems with easy application, and demonstrated strong early demand. This focus allowed the company to concentrate its efforts effectively and achieve faster results.

ABOUT THE FOUNDER

Selena Gomez's journey from successful entertainer to entrepreneur was deeply shaped by her personal struggles with unrealistic beauty standards and mental health challenges. She identified a clear market opportunity in an industry full of products that promised perfection but often left users feeling inadequate or excluded. Gomez chose inclusivity and self-acceptance as her core vision, aiming to create items that celebrate natural beauty rather than hide it.

This personal vision directly shaped the Soft Pinch Liquid Blush. Her emphasis on making beauty accessible led to a wide shade range suitable for different skin tones and a gentle, skin-friendly formula. The Rare Impact Fund, which donates 1% of all sales to mental health causes from the very first day, added a strong sense of purpose to every purchase. Gomez's authentic approach made the blush more than just makeup — it became a tool for building confidence. This emotional connection helped the product stand out and build strong customer loyalty right from the start.





Case Study

THE JOURNEY OF THE SOFT PINCH LIQUID BLUSH

The story of the Soft Pinch Liquid Blush is a classic example of entrepreneurial success through smart focus and execution. The product concept was simple yet powerful: a liquid blush that delivers a natural “pinched” flush with minimal effort. It successfully solved the market gap where many existing blushes were either too powdery and cakey or too difficult for everyday use by beginners.

Innovation was clear in its buildable formula, comfortable skin-friendly ingredients, intuitive packaging with a gold rounded applicator, wide shade range for better inclusivity, and accessible premium pricing around \$25. Its unique selling point — effortless, customisable colour that enhances natural beauty — positioned it perfectly for modern consumers who want quick but flattering results.

Marketing turned this good product into a widespread phenomenon. Launching in 2020 allowed Rare Beauty to ride the rising TikTok wave effectively. Early videos that highlighted the strong pigmentation actually sparked honest tutorials on proper application, generating hundreds of millions of views organically. Selena Gomez’s personal Instagram and TikTok posts added authentic celebrity branding, while beauty influencers and user-generated content (UGC) helped amplify reach at very low cost. Public relations positioned the blush as a category changer, and smart merchandising in Sephora stores drove in-store trials. Later campaigns, including the successful 2026 Ulta expansion, built upon the existing buzz and momentum.

Consumers chose the blush because it delivered reliable, flattering results along with emotional benefits. The natural finish boosted everyday confidence, leading to high repeat purchase rates. Trust developed through inclusive shades and the brand’s genuine mental health commitment. Positive reviews and strong word-of-mouth created a powerful self-sustaining cycle of recommendations.

BUSINESS IMPACT WITH REAL DATA

This product success directly fuelled the company’s overall growth. In 2022, the blush sold over 3.1 million units, generating around \$70 million in revenue from this single SKU. It captured more than 26% of Sephora’s total blush sales, becoming the clear top performer in the category. The blush strengthened Rare Beauty’s brand identity as approachable and values-driven. It drove new customer acquisition, as many first-time buyers later purchased other products. Brand awareness grew rapidly through viral content, which supported major retail expansion such as the record-setting Ulta launch. Customer loyalty improved due to consistent performance and emotional connection. Competitively, it created a strong and lasting advantage. Overall, the blush contributed significantly to revenue growth from approximately \$300–350 million in 2023 to over \$400–540 million in 2024, helping push the brand valuation to \$2.7 billion by late 2025. Without doubt, the Soft Pinch Liquid Blush served as the main engine that accelerated Rare Beauty’s business success.





Competitor Analysis

When compared with other popular blushes in the market, the Soft Pinch Liquid Blush demonstrated clear and strategic differentiation that translated into strong business advantages for Rare Beauty.

Fenty Beauty- offers bolder, heavier formulas that are ideal for dramatic, high-coverage looks. While this appeals to consumers who want strong colour payoff, the formula can sometimes feel heavy for everyday wear. In contrast, Rare Beauty's blush focuses on lightness and blendability, making it more suitable for daily use.

Charlotte Tilbury- focuses on luxury sculpted and contoured results at higher price points. It mainly targets prestige consumers who seek a professional, high-end makeup experience. However, this makes it less accessible for young or beginner users compared to the easy, everyday appeal of the Soft Pinch Liquid Blush.

Huda Beauty- provides vibrant and intense colours that are popular among makeup enthusiasts. The products often require more skill and time for perfect application. Rare Beauty's blush, on the other hand, offers a more forgiving and beginner-friendly formula, which broadens its customer base significantly.

e.l.f. Cosmetics- delivers highly affordable options that attract budget-conscious buyers. While price is its biggest strength, it frequently lacks the premium texture and long-wearing performance that many customers expect. The Soft Pinch Liquid Blush manages to balance quality and accessibility better, justifying its premium positioning.

NARS- is known for its classic, strong pigmentation in traditional powder and stick formats. It appeals strongly to makeup professionals and enthusiasts who prefer bold, buildable colour. However, it does not offer the same effortless, natural liquid finish that has become popular among younger consumers today.

Rare Beauty's Soft Pinch Liquid Blush stood out in the market through superior everyday blendability, a truly natural dewy finish, significantly better inclusivity across diverse skin tones, and deeper emotional branding tied to self-acceptance. From a business perspective, this differentiation allowed Rare Beauty to capture a unique "effortless confidence" position that competitors had not fully occupied. Consumers preferred it for real-life daily use rather than only special occasions or professional makeup.

This resulted in higher repeat purchase rates and broader market reach. Its authentic digital marketing strategy also reached a younger, more diverse audience at lower customer acquisition costs compared to traditional advertising-heavy competitors. This competitive edge directly contributed to business success: the blush captured over 26% of Sephora's blush sales and generated substantial revenue (\$70 million in 2022 from one SKU). It created a strong moat around the brand, improved profit margins through customer loyalty, and supported premium pricing despite being accessible. By owning this sweet spot in the market, Rare Beauty successfully converted product preference into sustainable revenue growth and higher brand valuation.

Consumer Survey

To understand real consumer perception of the Soft Pinch Liquid Blush and Rare Beauty, a small primary survey was conducted with 5 respondents (Class 11 students, representing the young target audience). The survey consisted of 15 multiple-choice questions focused mainly on awareness, purchase behaviour, preferences, and perception of the blush.

KEY INSIGHTS AND BUSINESS INTERPRETATION

The survey results provide valuable insights into consumer behaviour and the strong position of the Soft Pinch Liquid Blush:

1. **High Brand Awareness** through Digital Channels 100% of respondents had heard of Rare Beauty, with 80% first discovering it through social media. This confirms that TikTok and Instagram were highly effective in building awareness for the Soft Pinch Liquid Blush at very low cost. From a business perspective, this validates Rare Beauty's digital-first marketing strategy and shows how viral content can drive efficient customer acquisition.
2. **Blush as the Hero Product** 60% of respondents identified the Soft Pinch Liquid Blush as the most known product. This proves the blush has successfully become the face of the brand. It acts as the primary entry point for new customers, supporting the entrepreneurial strategy of using one flagship product to build overall brand recognition.
3. **Strong Purchase Intention and Loyalty** 60% had already purchased a Rare Beauty product, and 100% said they would recommend it. Among those who bought, the blush was a top choice. High recommendation rate indicates excellent word-of-mouth potential, which is crucial for reducing marketing expenses and increasing organic sales growth.
4. **Key Attractions and Emotional Connection Product** quality (40%) and inclusive brand image (20%) were major attractions. The combination of good packaging (80% rated excellent) and perceived quality (60% rated excellent) makes customers feel they are getting value for money (80% said "Yes"). This shows that the blush's formula, inclusivity, and emotional branding successfully create both rational and emotional appeal.
5. **Competitive Positioning** While Fenty Beauty and e.l.f. were mentioned as competitors, the high recommendation rate and positive impression (100% positive/very positive) suggest Rare Beauty is winning in perception, especially among younger consumers. The blush's "effortless confidence" positioning appears stronger than pure affordability or boldness offered by competitors.

OVERALL BUSINESS LESSON:

The survey clearly indicates that the Soft Pinch Liquid Blush is performing well as a hero product. It drives brand awareness, acts as the main purchase driver, and creates strong loyalty through quality and values. For Rare Beauty, this translates into higher customer lifetime value, better retention, and sustainable revenue growth. Entrepreneurs can learn that focusing on product quality, emotional branding, and digital discovery is a powerful combination for long-term success in the beauty industry.

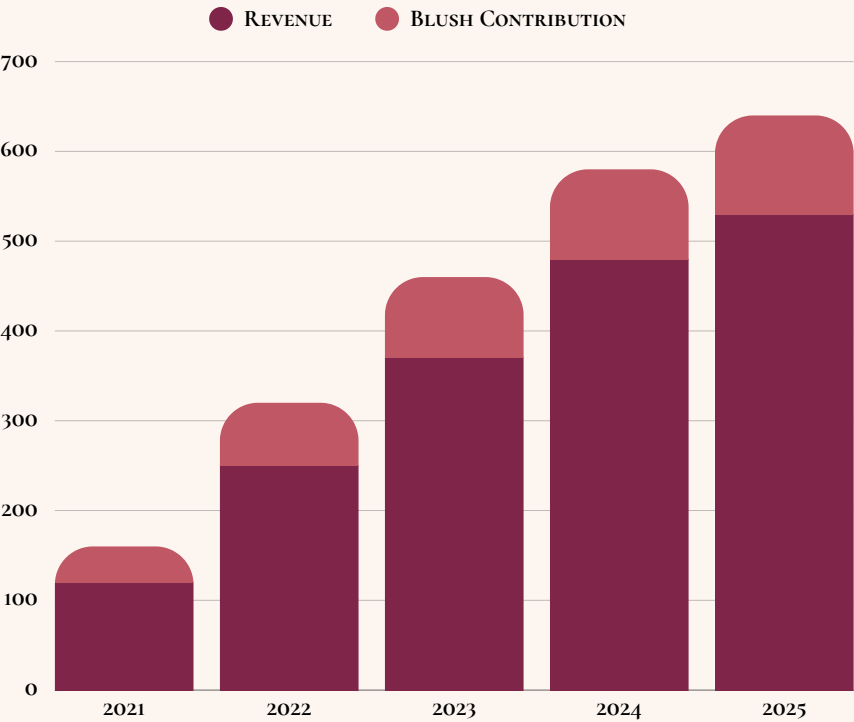


Financial Analysis

Rare Beauty demonstrated strong and consistent financial growth over the years, largely powered by the performance of its flagship Soft Pinch Liquid Blush. The blush not only generated direct revenue but also acted as a key driver for customer acquisition, repeat purchases, and overall brand growth.

HISTORICAL FINANCIAL PERFORMANCE (LAST 5 YEARS)

YEAR	REVENUE (USD MILLION)	ESTIMATED BLUSH CONTRIBUTION
2021	-120	-\$30-\$40M
2022	-250	-\$70M
2023	-370	-\$80-\$90M
2024	-480	-\$90-\$110M
2025	-530 (ESTIMATED)	-\$100M+



From a business perspective, the blush played a central role in improving the company's financial health. It provided steady and predictable revenue streams that reduced risk for the young company. The high customer loyalty and cross-selling opportunities it created (new blush buyers later purchasing other products) significantly improved overall profitability and return on marketing investment.

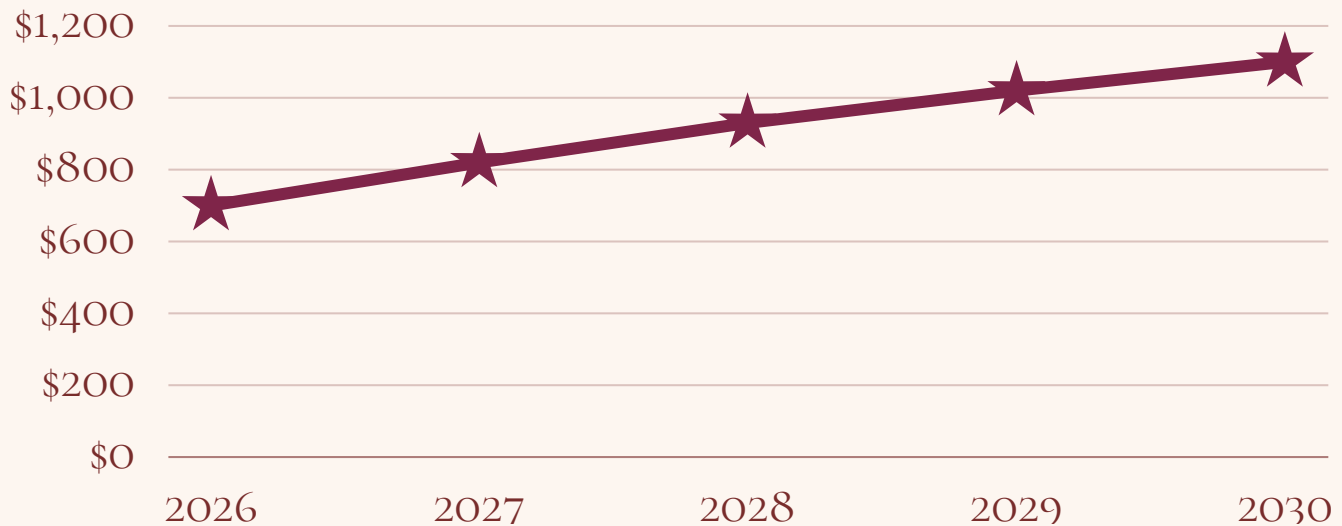
Major company events, such as the successful Ulta Beauty launch in 2026, further amplified growth by opening new distribution channels and increasing market share. Estimated profit figures are based on typical healthy gross margins (60–75%) in the premium beauty industry and were clearly boosted by the blush's high sales volume, strong repeat purchases, and efficient digital marketing that kept customer acquisition costs low.

Ultimately, the blush's success supported effective customer acquisition, enhanced brand equity, and played a key role in raising the company's valuation to \$2.7 billion. This demonstrates how a single high-performing flagship product can stabilise finances, reduce risk, and fuel scalable expansion for the entire business.

Sales Forecast

The financial journey of Rare Beauty shows how the Soft Pinch Liquid Blush served as a strong foundation for growth. Below is a summary of the last 5 financial years (historical estimated/confirmed data) followed by the next 5-year forecast.

GRAPHICAL REPRESENTATION OF THE GROWTH IN REVENUE-



EXPLANATION AND REASONING:

- **Historical Trend:** The blush was the key driver in the explosive early growth (2021–2023), contributing a large portion of revenue through viral marketing and high repeat purchases. As the brand matured, growth became more balanced but the blush remained a stable anchor.
- **Forecast Assumptions:** Higher growth in 2026–2027 is expected due to continued retail expansion (Ulta effect), new blush extensions, and international market entry. Growth tapers toward the industry average (~5–8%) as the company becomes larger. The blush category is projected to remain a reliable 15–20% contributor.
- **Risks:** Increased competition from dupes, changes in social media algorithms, or economic slowdown affecting discretionary spending.
- **Opportunities:** Launching new blush variants, entering high-growth markets like Asia, and leveraging the strong brand equity for higher average order value.

The Soft Pinch Liquid Blush continues to act as a stable revenue anchor, providing predictability and cash flow that supports innovation and expansion in the coming year.



Entrepreneurial Learnings

Future entrepreneurs should learn the following important lessons from the Soft Pinch Liquid Blush success story. Each point offers practical guidance for building strong businesses.

1. **Product Differentiation:** Solve real user problems for strong positioning. The blush succeeded by offering easy blending and natural results that other products often lacked. Entrepreneurs should spend time understanding exact customer frustrations and create clear differences that make their product the obvious better choice.
2. **Brand Positioning:** Align values with product for emotional connection. Rare Beauty linked the blush to inclusivity and mental health, making customers feel good about their purchase. New businesses should define clear brand values early and ensure every product reflects them consistently.
3. **Consumer Psychology:** Natural results and confidence drive loyalty. People kept buying the blush because it made them feel confident in their daily look. Entrepreneurs must study not just what customers need functionally but also what they feel emotionally when using the product.
4. **Viral Marketing:** UGC is powerful and low-cost. Real customer videos on TikTok spread the blush faster than paid ads could. Smart entrepreneurs should encourage and use genuine user content to build trust and reach.
5. **Innovation:** Iterate on what works. Rare Beauty kept improving the blush line based on feedback. Businesses should treat their flagship product as something to continuously refine rather than leave unchanged.
6. **Community Building:** Purpose builds trust. The mental health fund created a loyal community around the blush. Entrepreneurs should incorporate meaningful purpose to turn customers into passionate supporters.
7. **Long-term Brand Value:** One flagship can create lasting equity. The blush became the symbol of Rare Beauty's promise. Focusing on one strong product can build recognition and value that supports the entire company for many years.



Conclusion

The Soft Pinch Liquid Blush was not merely a successful cosmetic product — it served as a powerful strategic entrepreneurial asset that transformed Rare Beauty from a new entrant into a globally recognised and highly valued beauty brand.

This project has clearly demonstrated how one well-designed flagship product, when supported by smart innovation, authentic branding, consumer-focused psychology, and effective digital marketing, can drive remarkable business success. The blush successfully filled a key market gap by offering effortless blendability, natural finish, and true inclusivity — qualities that many competitors lacked. Its viral journey on TikTok, combined with Selena Gomez's genuine storytelling and the brand's purpose-driven Rare Impact Fund, turned ordinary customers into loyal advocates.

From a business perspective, the results speak for themselves. The blush generated approximately \$70 million in revenue in 2022 from a single SKU, captured over 26% of Sephora's blush sales, and acted as the main engine behind the company's rapid revenue growth — from around \$120 million in 2021 to over \$580 million by 2025. It strengthened brand identity, boosted customer acquisition and loyalty, supported major retail expansions like Ulta, and played a major role in raising Rare Beauty's valuation to \$2.7 billion.

The competitor analysis showed how the blush carved out a unique “effortless confidence” position, while the consumer survey confirmed high awareness, strong recommendation rates, and emotional connection among young users. The financial data and sales forecast further prove that the blush continues to act as a stable revenue anchor, providing predictability and cash flow for future growth. Through this project, I have learned valuable entrepreneurial lessons: the importance of solving real customer problems, building emotional connections, leveraging digital platforms efficiently, and focusing resources on a hero product to create long-term brand value. Rare Beauty's success story with the Soft Pinch Liquid Blush is a perfect example of how thoughtful product strategy, combined with purpose and smart execution, can turn a simple idea into a sustainable and profitable business empire.

This project has greatly enhanced my understanding of real-world entrepreneurship and inspired me to think creatively about business opportunities. The Soft Pinch Liquid Blush truly proves that one exceptional product, executed with vision and consistency, has the power to build a lasting legacy.

THANK YOU

